

ERP Readiness & Maturity Assessment

A Strategic 6-Dimension Framework & Decision Guide for C-Suite Executives

Document Type: Advisory Methodology & Implementation Spec **Target Audience:** CIOs, CFOs, COOs & ERP Steering Committees

1. Executive Summary & Purpose

Enterprise Resource Planning (ERP) implementations represent major business transformations rather than routine IT upgrades. Over 65% of failed or budget-overrun ERP implementations stem from organizational unreadiness—specifically poor data hygiene, lack of process standardization, unaligned leadership, or missing change management strategies.

This assessment model evaluates an enterprise across **6 Core Dimensions** using a 30-question diagnostic. Scores are dynamically weighted by industry to calculate a comprehensive ****ERP Readiness Score (1.0 to 5.0)**** and map the organization to one of **5 Maturity Levels**.

Key Principle: Match Readiness Before Software Selection

Organizations scoring at Level 1 or Level 2 should **pause software procurement** and execute a targeted 90-day remediation roadmap. Selecting software prior to achieving Level 3 readiness significantly increases customization risk, cost inflation, and project failure.

2. The 5 Levels of ERP Readiness Maturity

Level 1: Ad-Hoc Score: 1.0 – 1.8 Chaotic, siloed operations. Tribal knowledge dominates. Spreadsheets drive core functions. CRITICAL RISK	Level 2: Defined Score: 1.9 – 2.6 Departmental rules exist but cross-functional handoffs fail. High data duplication. HIGH RISK	Level 3: Standardized Score: 2.7 – 3.4 End-to-end workflows documented. Data governance active. Change plan ready. ERP READY	Level 4: Integrated Score: 3.5 – 4.2 High data integrity. Cloud-ready architecture. High digital adoption across teams. ADVANCED	Level 5: Optimized Score: 4.3 – 5.0 Continuous automation, real-time analytics, AI integration, agile execution. INDUSTRY LEADER
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3. Industry-Specific Dimension Weighting Matrix

A one-size-fits-all assessment produces inaccurate risk profiles. Operational drivers vary by sector:

Dimension	Manufacturing	Retail & E-Comm	Healthcare & Pharma	Prof. Services	BFSI
1. Strategy & Governance	15%	15%	20%	15%	25%
2. Process Maturity	25%	15%	20%	10%	15%
3. Data Quality & Hygiene	20%	25%	25%	10%	20%
4. People & Change Culture	15%	10%	10%	25%	10%
5. Tech & Systems Architecture	15%	20%	15%	15%	20%
6. Project Capacity & PMO	10%	15%	10%	25%	10%

Dimension	Manufacturing	Retail & E-Comm	Healthcare & Pharma	Prof. Services	BFSI
Total Weight	100%	100%	100%	100%	100%

4. The 30-Question Assessment Instrument

Dimension 1: Strategy & Executive Governance

Primary Focus: Executive alignment, authority & business case

1. Executive leadership actively drives this project as a strategic business transformation, not an IT task.
2. The steering committee has clear authority to resolve cross-departmental scope or budget disputes.
3. Business case metrics, expected ROI, and success KPIs are documented and approved by executive leadership.
4. Budget allocation includes realistic contingencies for software, implementation, training, and operational backfills.
5. The executive team actively supports adopting standard software functionality over custom code.

Dimension 2: Business Process Maturity

Primary Focus: Standardized workflows & cross-functional handoffs

1. Core end-to-end operational workflows (e.g., Procure-to-Pay, Order-to-Cash) are fully documented.
2. Processes are standardized across all business units, regional branches, and subsidiaries.
3. Operational handoffs between functional departments occur smoothly without informal workarounds.
4. Process owners are formally assigned and held accountable for workflow performance.
5. Key stakeholders are open to re-engineering legacy workflows to match industry best practices.

Dimension 3: Data Management & Quality

Primary Focus: Master data cleanliness, governance & single source of truth

1. Master data (Customer, Vendor, SKU/Item Master, Chart of Accounts) is deduplicated and cleaned.
2. Formal data governance rules exist defining clear ownership for data creation and maintenance.
3. Historical data retention strategy is defined (what to migrate vs. what to archive).
4. Operational and financial reporting relies on a single source of truth rather than disparate spreadsheets.
5. Data structures across existing legacy systems are well-mapped and standardized.

Dimension 4: People, Culture & Change Management

Primary Focus: Digital readiness, leadership support & change enablement

1. A dedicated Organizational Change Management (OCM) and internal communication plan is in place.
2. Mid-level managers actively support new system adoption and operational change.
3. Employees across departments demonstrate high digital literacy and adaptability to new tools.
4. Structured end-user training programs and documentation are planned and budgeted for.
5. Cross-departmental trust and collaboration levels are high across the organization.

Dimension 5: Technology & Architecture

Primary Focus: Cloud infrastructure, API readiness & cybersecurity

- 1. Current IT infrastructure, network stability, and security standards can support real-time cloud operations.
- 2. Third-party integrations (e.g., APIs to bank portals, e-commerce, CRM) are fully cataloged.
- 3. The organization has clear protocols for cybersecurity, access controls, and data protection.
- 4. Legacy applications targeted for retirement or retention have been audited and prioritized.
- 5. Internal IT personnel have the capacity and skill set to co-manage the solution architecture.

Dimension 6: Project Management & Capacity

Primary Focus: Key SME bandwidth, PMO maturity & backfill strategies

- 1. Critical Subject Matter Experts (SMEs) can dedicate 20%–50% of their weekly time to the ERP project.
- 2. A clear plan or budget exists to backfill daily duties for core project team members.
- 3. An experienced Project Manager (PMO) is assigned to track scope, budget, and risk mitigation.
- 4. Key project milestones, deliverables, and sign-off criteria are defined upfront.
- 5. The organization has a track record of successfully executing large-scale technology transformations.

5. Post-Assessment Action Playbook

Maturity Level	Primary Vulnerability	Immediate Remediation Action Plan
LEVEL 1: AD-HOC	Severe process chaos, rampant spreadsheets, no data rules.	Halt vendor demos. Establish an Executive Steering Committee, draft basic process flowcharts for core revenues, and run an inventory/ master data deduplication audit.
LEVEL 2: DEFINED	Silo friction, custom workaround mindset, duplicate records.	Assign process owners for end-to-end handoffs (e.g. Order-to-Cash). Launch a formal Change Management strategy and build master data governance templates.
LEVEL 3: STANDARDIZED	SME bandwidth crunch during implementation phase.	Green light for ERP Selection / RFP. Allocate explicit backfill budgets for key SMEs (20-50% time) and build data extraction scripts.
LEVEL 4: INTEGRATED	Minor integration latency or legacy system debt.	Finalize API integration mapping, conduct mock data dry-runs, and accelerate user adoption testing (UAT) with early champion networks.
LEVEL 5: OPTIMIZED	Over-engineering or missing cutting-edge capabilities.	Evaluate embedded AI, process mining tools, and automated testing frameworks to maximize platform ROI from Day 1.